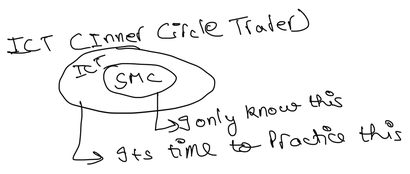
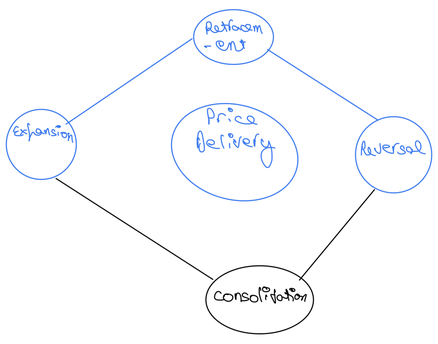
1st Month

ICT used never about orderblocks or fvg's, it's about consistently Analysing Price Action

ICT (Inner Circle Trader)





Expansion :-

Expansion ↓ orderblock ← Expansion is when Price Moves quickly from level of Equilibrium.

Retracement :-

Retracement ↓ Liquidity gaps & voids ← Retracement is when price moves back inside recently created price range

Reversal :-

Reversal ↑↓ Liquidity Pools ← Reversal is when price moves the opposite direction that current direction had taken it.

Consolidation :-

Consolidation ↓ Equilibrium ← Consolidation is when Price Moves inside a clear trading range & shows no willingness to move significantly higher or lower

Elements to a Trade Setup

→ Context or Framework surrounding the idea
- Expansion → Judas Swing
- Retracement → New York session
- Reversal → London Swing
- Consolidation → Asian Range

→ Reference points in Institutional order flow
- order blocks
- fair value gaps & liquidity voids
- Liquidity Pools & stop Runs
- Equilibrium

Understanding comes from Exposure, Exposure creates Experience.

What to do now :-

→ Creating Daily Price Action Logs with Price Charts.
- Daily chart - 12 months, no less than 9 months
- 4hour chart - 3 months view
- 6 min chart - 3 weeks view
- 15 min chart - 3-4 days view

→ Resist the urge to forecast Price movements
- Do Note where Price shown a quick movement from a specific level.
- Do Note Recent Highs and lows that haven't retested.
- Note areas on the chart where price has left clean highs or lows
- Note what days weekly highs & lows form & what killzone it formed in.
- Note the daily High & Daily Low every trading day & what killzone it formed in.

Equilibrium Vs Discount

→ once Price moves higher, when it created a high, 4 candles should be there, the left of high, the higher one, the right of higher & next right confirming the move. Then price will come at Equilibrium. & vice versa price to come at Equilibrium. & vice versa
- Equilibrium :- Fair value
- OTE :- Optimal Trade Entry is 75% i.e. 50% of 50%-& 50% is Equilibrium

Understand what highs & Lows giving you, that's be already there.

Expansion :- Equilibrium to Liquidity

Equilibrium Vs Premium :-

The vice versa for Discount for selling side

Fair Valuation :-

Liquidity void :- Range where price should drastic Movements towards one side without considering fractal.

Fair value is the price range in which price makes trade to the opposite direction & having Liquidity void in that.

To do a turtle soup, Market takes the stops & quickly went to opposite direction, but if there is consolidation after taking soup, it means market will go in same direction.

Bearish candle for bullish orderblock
Bullish candle for bearish orderblock

Things to consider while Trading :-

→ The current range you're Trading in
→ Equilibrium price point relative to recent high & lows

Liquidity Runs :-

Liquidity :- Liquidity refers to the degree to which a market can be quickly bought or sold in the market without affecting the asset price.

openfloat :- There will be liquidity above old high & below old Lows.

To breach the topmost Liquidity, Market needs needs volatility.

Impulsive Price swings & Market Protraction :-

Market Protraction :- Time sensitive Impulse price swings
- Market opening :- Fake move in opposite direction
- New york :- Manipulation is done
- Expansion :- The Market Expands

Month 2

Growing small accounts without high risk :-

→ What you need to avoid :-
(i) Do not try to rush to make massive gains in either jiffs or %
(ii) Do not open yourself to large risk in hopes of equally large returns or profits.
(iii) Do not assume taking small risk defined trades will not grow your account.
(iv) Do not sacrifice trading equity for poor planning or lack there of

→ What you need to aim for :-
(i) Determine how to realistically anticipate a favourable Risk to Reward model.
(ii) Learn to respect the risk side of the trade setup more over the reward.
(iii) Identify Trade setups that permit these Reward multiple to only risk or higher.
(iv) Frame good reward to risk setups that have little impact if unfavourable.

→ Reality of Reward to Risk Ratio :-

Reward	:	Risk	Win rate
0.3	:	1	→ 75%
0.9	:	1	→ 60%
1	:	1	→ 50%
1.5	:	1	→ 40%
2	:	1	→ 33%
3	:	1	→ 25%

→ What should you focus on Initially :-

6% per Month
- → 2 opps per week
- → 1.5% risk per week
- → 1:1 Ratio

Note :- Instead of Trading use position sizing to manage the trade & Stoploss.

How to frame Low risk trade setups :-

→ What makes the setup worth taking :-
(i) Selecting Trade setups on Higher timeframe charts is ideal.
(ii) Large Institutions & Banks analyze markets on Daily - weekly & Monthly basis.
(iii) Locating Price levels that align with institutional orderflows is key.
(iv) Higher timeframe setups form slow & take ample time to plan accordingly.

→ What can we do to lower the risk in the trade :-
(i) The Higher timeframe has more influence on Price, So we focus there.
(ii) The conditions that lend to a trade setup on a HTF can be refined to LTF.
(iii) Transpose the higher timeframe chart to lower Time frame chart.
(iv) Aligning HTF Levels to LTF charts allows smaller Stop loss placement & Risk.

How traders make 10% per Month :-

Daily → 1H → 15M → 5M
with partial profit booking & 1 trade per week

1:3 → 12.6%
1:5 → 24% per Month
1:10 → 46%

Why losing on trades won't affect your Probability :-

→ What trading with fear of Taking Losses Actually does to your trading.
(i) Staying concerned about taking a loss Promotes fear based decision making.
(ii) Equity that is managed by traders that cannot take a loss can't profit long term.
(iii) Losing is inevitable - Fear based decision Making leads focus on adverse.
(iv) Fear based decision making results Trader Paralysis of Probility to execute efficiently.

→ Why Profits are achievable despite taking Reasonable losses
(i) The Professional Equity Manager understands "Losses are costs of doing business".
(ii) Using Sound Equity Management & High probability setups yield handsome % returns.
(iii) Trading Scenarios that encourage potential 3:1 Reward Ratio's, provide initial foundation.
(iv) Defining Trade setups that frame 5:1 Reward to Risk or more - efficiently cover losses.

Monthly 10 trades: 1% SL 1:5 at 30% Accuracy gives 8% return (→ 1st goal)
1:3 at 30% Accuracy gives 2% return

2% SL 1:5 at 30% Accuracy gives 15% return
2% SL 1:5 at 40% Accuracy gives 28% return
2% SL 1:5 at 50% Accuracy gives 40% return
1% SL 1:5 at 50% Accuracy gives 20% return (→ 2nd goal)

How to mitigate losing trades effectively :-

Enter half of risk on next orderblock & book profit on 1:2 to mitigate the risk.

The secret to selecting setups that offer high reward :-

Patience → Define Trade Environments → Determine Trade Parameters → Executable Criteria → Understand why it should play out → Experience for future reference

Big Picture Perspective :- (Atleast 2 need to agree)
(i) Macro Market Analysis
(ii) Interest Rate Analysis
(iii) Intermarket Analysis
(iv) Seasonal Influences

Intermediate Perspective :-
(i) Top down Analysis → Monthly, weekly & daily
(ii) COT Data → Bullish & Bearish Hedging by Smart Money & Extreme levels historically
(iii) Market sentiment → Extreme Market Bullishness or Bearishness

Short term Perspective :-
(i) Correlation Analysis → USDX SMT Analysis; correlated Pair SMT Analysis
(ii) Time & Price theory → Delivery → quaterly effect, Monthly effect, weekly range, Daily Range, Time of Day
(iii) IPDA - Interbank price Algorithm. → Institutional orderflow; Liquidity seeking; Market Efficiency Paradigm

(i) Macro Market Analysis :-
(a) Inflationary Market
(b) Deflationary Market

(ii) Interest Rate Analysis :- (FOMC)
(a) Higher Rates
(b) Lower Rates
(c) Unexpected Change

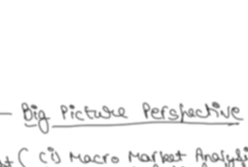
(iii) Intermarket Analysis :-
(a) Gold Index
(b) USDX - US Dollar Index → Trades both are inversely related

(iv) Seasonal Influences :-
(a) Bullish seasonal Tendencies
(b) Bearish seasonal Tendencies

Market Maker Trap : False Flags

→ False Bull Flags in Price Action
(i) Not all Price Rallies that move into short term consolidations are bull flags.
(ii) In mature Bull Trends or in HTF Distribution Levels - Price will just form a Bull flag
(iii) Retail Traders will see a classic "continuation buy pattern" but it will result in a reversal
(iv) Understanding higher timeframe charts & Premium markets will assist in identifying.

→ False Bear Flags in Price Action :-
(i) Not all sudden Price declines that move into short term consolidations are bear flags
(ii) & all same points from Bull flags applied to Bear flags as well.



& vice versa

Market Maker Trap : False Breakouts

→ False breakouts above Price consolidations :
(i) This condition generally manifests in primary Bearish Market
(ii) At some measure of Equilibrium in Price, the market will move into the trading range.
(iii) Neophyte traders or breakout traders will bracket the trading range in price with orders.
(iv) market makers will typically send price above the range to neutralize buy stops.

& vice versa for Breakout below price consolidations

Body of the candle has most of the volume, Liquidity above it.

Note ↑

Month 3

Timeframe Selection & Defining setups for my Model :-

→ Timeframe Selection
(i) Monthly charts - Position Trading
(ii) Weekly charts - Swing Trading
(iii) Daily charts - Short Term Trading
(iv) 4H or less - Day Trading

→ Defining setups for My Model (Finding repeat characteristics)
(i) Trend Trader :- Trading only in the direction of Monthly & weekly chart direction.
(ii) Swing Trader :- Trading the daily chart intermediate term price action
(iii) Contrarian Trader :- Trading reversal patterns at market extremes.
(iv) Short term Trader :- Trading the weekly ranges for 1-5 days in duration
(v) Day Trader :- Intraday trader with daily exits.

Institutional orderflows - What makes it easy to know :-

Mean threshold will be respected by wicks.

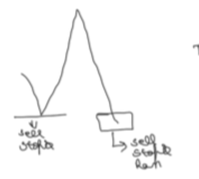
For Bullish → there will be a bearish orderblock
For Bearish → there will be a Bullish orderblock

→ Liquidity stands above or below of the body of the candle Body contains all the volume.

Institutional sponsorship - How to Identify setups in it :-

→ Institutional sponsorship in Long setups :-
(i) Higher timeframe Price Displacement - Reversals, Expansion or Return to fair Value.
(ii) Intermediate term Imbalance in price - Move to discount or sell side Liquidity run.
(iii) short term Buy Liquidity above the Market - Ideal for pairing long exits to sell to.
(iv) Time of day influence i.e. London open low of day or new york low formation.

→ & opposite for Institutional sponsorship for short setups.



The daily chart should price dropping down below an old low - where sell stops would typically be pooled. The Aggressive trader can at that time look for lowest timeframes to show similar price action in the form of Low being violated and a long can be taken.

here the displacement confirms the orderblock

Everyone asks, what orderblock did you use, understand where market should go.

Where will be the next setup form :- (Anticipatory Skill Development)

Monthly charts are going to move on great deal of money behind these price swings & Retail don't have it.

→ Mark lows & highs of last 3-5 months on each pair
↳ Note

↳ Marked 2 Reference Points on Monthly chart
↳ find Most Recent Down candle & Most Recent Up candle & that is your range.
↳ once it closes above the high of the marked candle, that line becomes the order block.

Inside Price Action : Institutional Market structure

→ What is Institutional Market structure
(i) The analysis of correlated assets or relationship to inversely correlated assets.
(ii) The purpose is to determine is to determine whether the smart money is accumulating or distributing
(iii) currencies are easy to analyze with Institutional Market structure with the USDX.
(iv) Every price swing should be studied to determine if market symmetry confirms it.

→ How do we determine Institutional Market structure in forex :-
(i) compare every price swing in USDX with foreign currency you trade.
(ii) As USDX trades higher, except a lower price swing in foreign currency pairs.
(iii) If USDX or a foreign currency fails to move symmetrically - smart money is actively trading
(iv) As USDX trades lower, expect a higher price swing in foreign currency pairs.

→ When the USDX makes a lower low, Foreign currency makes higher high & vice versa.
↳ follows price action in same trend.

→ when USDX fails to make a higher high & foreign currency makes a lower low & vice versa, then this does not confirms the price action & trend is not likely to reverse.

Macro Economics to Micro Technical :- ★ Most Important

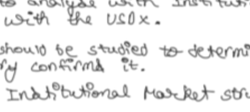
Bond Market Interest Rates	crypto Macros :- fed Policy, US Interest rates
	Indian Macros :- RBI Repo rate & monetary policy stance.

Market Maker Trap : Trendline Phantoms :- (Called trendlines)

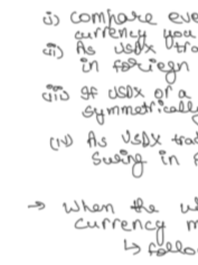
→ Diagonal Trendline support :-
(i) The market begins to make higher highs & higher lows.
(ii) The market appears to have a imaginary diagonal line it seems to repel price higher from
(iii) Retail traders will extend these imaginary lines into future attribute support theories to it.
(iv) when price hits the extended imaginary diagonal line connecting higher lows - Retail buys then.

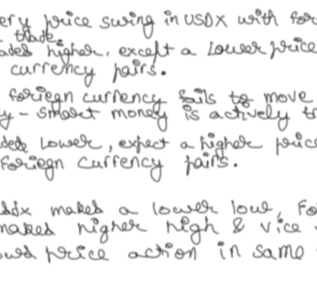
→ Diagonal Trendline Resistance :-
Vice versa of support.

→ price doesn't respect what you draw on chart (Imaginarily) but it reacts from liquidity
→ No, they don't Banks don't have value based on trendline theory.
→ Yes, It is



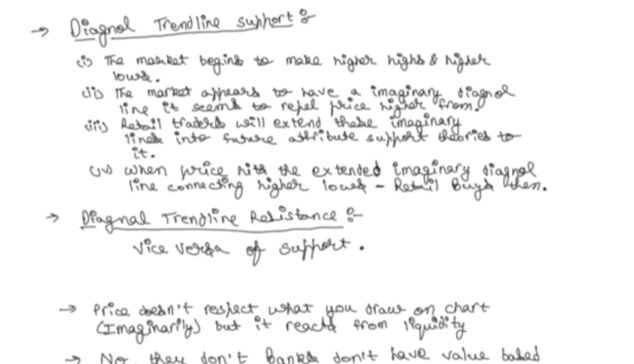
Bullish Trendline support :-





If the trendline looks obvious, it is a trap
& vice versa for Bearish Trendline Resistance
between the line 2 & 3, I will sell there or buy there if bearish.
At point no 2, there are stoplosses which created Liquidity.

Market Maker Trap :- Head & Shoulders Phantom :-



→ Generally price will form these genuinly at intermediate or long term highs.
→ Due to the low understanding of most retail Traders - They seek this classic topping pattern on lower timeframes.
→ Many times at a significant low in price - but they marry the pattern.

& Vice Versa.